but his candidature was vetoed by Nehru who felt that Gorwala was opposed to government policy on many fronts and was carrying on active and aggressive propaganda against it. In a letter to Deshmukh on this subject, he opined that Gorwala's appointment to any government post would not be suitable and 'some of Gorwala's criticisms in the public press verge on absurdity.'[25] In another letter to Deshmukh, he reiterated this fact saying that Gorwala's views on certain vital matters were unbalanced and with his attitude could hardly be 'considered a suitable instrument for carrying out government policies even though he may be technically competent in regard to a certain kind of work'.[26] Nehru was also apprehensive that his appointment could lead to opposition from Parliament and it would be unfortunate if the good effect generated by Matthai's appointment was undone by a controversial appointment. Even Chisholm had expressed serious doubts about Gorwala's style of functioning in August 1953. Gorwala, then a Central Board Director attempted to interfere in the day-to-day working of the bank and held the 'most fantastic and self-righteous views on most subjects.'[27]

In the event, the Vice Chairman's post went to Vaikunth Lal Mehta, a former Finance Minister in the Government of Bombay. S.K. Handoo, Managing Director of the Imperial Bank, was retained in the same capacity as one of the Managing Directors in the transformed entity. The post of the second Managing Director was filled by M.R. Bhide, Joint Secretary in the Minsitry of Food and Agriculture, who was put in charge of cooperation and rural banking, a field which was new to the bank. Gorwala was appointed a member of the Central Board as the government nominee.[28]

Every officer and employee of the Imperial Bank (except the Managing Director, Deputy Managing Director, and other Directors) became an officer and employee of the State Bank of India on and from July 1, 1955, and continued to hold office or service therein by the same tenure, remuneration, terms and conditions, and with the same rights and privileges as to pension, gratuity, and other matters as before. The second step of the SBI scheme, namely, the takeover of state-associated banks, would take another five years.